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Ledger Accounts

Dr. **Purchases A/c** **Cr.**

Date	Particulars	J.F.	Amount `	Date	Particulars	J.F.	Amount `
2017 July 31	To Sundry creditors		1,28,000				

Dr. **Kannan & Co. Account** **Cr.**

Date	Particulars	J.F.	Amount `	Date	Particulars	J.F.	Amount `
				2017 July 5	By Purchases A/c		55,000

Dr. **Balan & Co. Account** **Cr.**

Date	Particulars	J.F.	Amount `	Date	Particulars	J.F.	Amount `
				2017 July 10	By Purchases A/c		73,000

Note: 6th July, transaction is a cash transaction and 20th July, transaction is purchase of an asset. Hence, both will not be recorded in the purchases book.

6.6 Purchases returns book

After purchases of goods, the business unit may find that some of the goods are not upto the satisfactory level because of the following reasons:

(a) Goods may be defective.

(b) They might have been damaged in transit.

(c) Quantities delivered may not agree with the invoice.

(d) They might have been received quite late (off-season).

(e) They might not be as per the samples or specifications.

(f) There may be a breach of agreement.

Therefore, the buyer may return them to the suppliers.

Purchases returns book is a subsidiary book in which transactions relating to return of previously purchased goods to the suppliers, for which cash is not immediately received are recorded. Since goods are going out to the suppliers, they are also known as returns outward and the book is called as '*returns outward book or returns outward journal*'. This book is prepared like purchases book and details are entered as mentioned in the format given below: